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HDFC Bank

Report of 11 Oct 2026 Price at research ₹707 · $22.28

SMALL STAGED BUY · BETTER < ₹600

Fairly priced to modestly cheap. Worth a small, staged position, not a big bet.

WHY

- 13.8 times earnings and 1.8 times book for a bank with 1.17% bad loans and 19.6% capital. Return on equity is an ordinary 14%.
- The deposit repair is behind plan: loans are about 97% of deposits against guidance of 85 to 90%, and cheap deposits fell to 31.6% of the total.
- The base case returns about 8% a year in dollars over ten years, in a range of roughly 4% to 12%.

WHAT THE SHARES COULD BE WORTH

CASE	VALUE	VS ₹707
Bear if it goes badly	₹505	−29%
Base as expected	₹739	+5%
Bull if it goes well	₹997	+41%

Clearly attractive below ₹600.

3-year scenario targets in rupees, discounted to today at 10%, before currency effects.

₹707 ≈ €6.51 ≈ 34.8 lei a share, at National Bank of Romania rates of 09 Oct 2026.

NEXT CHECKPOINT

Q2 FY27 results in mid-October 2026, then Anup Bagchi takes over as CEO on 27 October 2026.

IF YOU DON'T OWN IT

A small starter position is defensible at ₹707 / $22. Stage it: one part after the Q2 FY27 results (mid-October), one after the new CEO's first full quarter (results around January 2027), one held back for ₹600 or a clear improvement. Keep it smaller than an ICICI Bank position until the governance question closes.

IF YOU OWN IT

Hold; no reason to add above ~₹720 before CASA turns.

SIGNALS TO ADD

- ☐ CASA ratio rises for two consecutive quarters
- ☐ NIM back above 3.5%
- ☐ Loan/deposit ratio below 92%
- ☐ Class action dismissed or settled for a small sum
- ☐ Price ≤ ₹600

SIGNALS TO SELL

- ☐ A regulator (RBI, SEBI, SEC) substantiates misconduct at senior level
- ☐ ROE below 12% for a full year
- ☐ Gross NPA above 2%
- ☐ Several senior departures in the new CEO's first year
- ☐ Price above ~2.5x book without ROE above 16%

DATES TO TICK OFF

	WHEN	WHAT	WHAT TO CHECK
☐	13 Oct 2026	**Class-action lead-plaintiff deadline**	
☐	≈ 15 Oct 2026	**Q2 FY27 results** Date not confirmed: Mid-October 2026	Watch NIM against 3.26%, CASA, and anything said about the 85–90% loan/deposit target.
☐	27 Oct 2026	**Anup Bagchi takes over as CEO**	
☐	10 Jan 2027	**Refresh the verdict**	It turns 90 days old; rerun the research before relying on it.
☐	≈ 15 Jan 2027	**Q3 results, the first quarter under the new CEO** Date not confirmed: January 2027	
☐	≈ 15 Apr 2027	**FY27 results and whatever strategy reset comes with them** Date not confirmed: April 2027	

THE FULL REPORT · HDFC BANK · 11 OCT 2026

Date: 2026-10-11 · **Framework:** Buffett / Munger / Duan Yongping / Li Lu **Price:** ₹707 (NSE close 9 Oct 2026) · ADR $22.28 (1 ADR = 3 shares) · Market cap ₹10.90 lakh crore ≈ US$113B **Follows:** India Financial Services industry research and funnel, where HDFC Bank was one of three finalists. **Information richness: A** (30 years listed, SEC filer, 40+ analysts). The trap for an A-rated company is that an AI report repeats consensus. This one therefore spends most of its effort on the reasons not to buy and on a ten-year valuation that does not borrow anyone else's multiple.

> **AI research limitations:** Financials are taken from Screener.in (consolidated) and results coverage, not from the bank's filings directly; consolidated and standalone figures differ and are labelled. The governance question cannot be resolved from public information. Valuation outputs are produced by the repo's calculation tools from stated assumptions. Not investment advice.

> **Currency and your money:** this report is written in Indian rupees. Share price ₹707 ≈ €6.51 ≈ 34.8 lei · ADR $22.28 ≈ €19.86 ≈ 106 lei. National Bank of Romania reference rates of 9 Oct 2026: 1 EUR = 5.3414 lei, ₹100 = 4.92 lei. ADR prices are in US dollars: 1 USD = 4.7612 lei. Figures in lei and euros are conversions at that day's rate and move with it.

0. Verdict in one paragraph

HDFC Bank is a very large, well-capitalised, low-loss bank earning an ordinary 14% return on equity, priced at about its lowest valuation in a decade (13.8x earnings, 1.8x book) because of three things at once: a deposit problem inherited from its 2023 merger that is being repaired more slowly than management promised, a governance cloud that outside reviewers and the central bank have dismissed but a US court has not yet heard, and the first outsider CEO in its history starting on 27 October. On conservative ten-year assumptions in dollars the expected return is about 8% a year, with a range of roughly 4% to 12%. That makes it **fairly priced to modestly cheap, with a free option on the franchise recovering**, not a bargain. **Conclusion: worth owning in a small, staged position; not a "back up the truck" price.** The price would become clearly attractive near ₹600 ($19 per ADR).

1. Data and cross-checks

ITEM	VALUE	SOURCE / CHECK
Share price	₹707	Screener, 9 Oct 2026 close
Shares outstanding	~15.39 billion	Equity capital ₹1,539 cr at ₹1 face value (derived)
Market cap	₹10.90 lakh crore	Tool check: 707 × 15.39B = ₹10.88T, deviation 0.22% ✅
Market cap in USD	$113.4B	Screener at ₹95.5/$ = $114.2B vs StockAnalysis ADR $112.64B, deviation 0.69% ✅
TTM EPS (consolidated)	₹51.35	Screener
P/E	13.77x	Tool: 707 / 51.35 ✅
Book value per share	₹390	Screener
P/B	1.81x	Tool: 707 / 390 ✅
FY26 dividend	₹15.50 (₹2.50 special interim + ₹13 final)	Results coverage; yield 2.19% on ₹707 (1.84% on the final alone)
FY26 net profit	₹79,219 cr consolidated · ₹74,670 cr standalone	Screener · broker tally
Foreign holding	39.39% (Sep 2026), down from 48.38% a year earlier	Screener shareholding

Ten-year record (consolidated, ₹ crore)

FY (MARCH)	2016	2019	2021	2023	2024*	2025	2026
Net profit	12,821	22,446	31,857	46,149	65,446	73,440	79,219
EPS (₹, bonus-adjusted)	12.66	20.50	28.87	41.22	42.16	46.26	49.39
ROE	19%	17%	16%	17%	17%	14%	14%
Deposits (₹ lakh cr)	–	–	13.34	18.83	23.77	27.11	31.00
Borrowings (₹ lakh cr)	–	–	1.78	2.57	7.31	6.35	5.88

*Merger with HDFC Ltd completed July 2023.

Two things stand out. Profit rose 2.5x from FY21 to FY26 but EPS only 1.7x (11.3% a year), because the merger was paid for in shares. And EPS growth in the three years since the merger has been 6% a year (41.22 → 49.39).

2. The business – Duan Yongping: "the right business"

One sentence: HDFC Bank borrows money from 100 million Indians at about 5% and lends it to households and businesses at about 9%, and loses very little of it.

Why it was a great business. For 25 years it had the cheapest money in Indian banking (38–48% of deposits in current and savings accounts that pay little or nothing), the lowest loan losses, and it grew 20% a year. ROE sat at 16–19% with no accidents through 2008, 2013, 2018 and Covid.

What the merger changed. In July 2023 it absorbed its parent, a mortgage lender with no deposits. That added a ₹6 lakh crore loan book funded by bonds and bank loans, and pushed the loan-to-deposit ratio above 100%. The plan was to replace the borrowings with deposits over three to four years.

Where the repair stands (Q2 FY27 business update, 4 Oct 2026):

MEASURE	PRE-MERGER	SEP 2023	JUN 2026	SEP 2026	DIRECTION
Borrowings (₹ lakh cr, March year-ends)	2.57	7.31 (Mar 24)	5.88 (Mar 26)	—	Improving
Deposit growth YoY	—	—	14.7%	18.8%	Strong, helped by $11.5B of foreign-currency deposits raised under an RBI swap window
Loan growth YoY	—	—	15.4%	16.3%	Accelerating
CASA ratio	~44–48%	38%	32.3%	**31.6%**	**Still falling**
Loans / deposits	~85–88%	~107%	96.5%	**~96.8%**	**Stalled**
Net interest margin (total assets)	~4.1%	3.4%	3.26%	due mid-Oct	Post-merger low

The uncomfortable fact: management guided to a loan-to-deposit ratio of 85–90% for FY27. Halfway through FY27 it is about 97%, because the bank chose to re-accelerate lending (16% growth) before the funding was fixed. Deposits are coming in, but as term deposits (+22.8%) at market rates, not cheap savings balances (+10.8%). The margin cannot recover until that mix turns.

Is it still a good business? Yes, in the sense that it earns a 1.8–1.9% return on assets with 1.17% bad loans and 17% core capital. It is no longer an exceptional one. The difference between "good" and "exceptional" is about three points of ROE and is worth roughly half the share price.

> **Duan Yongping's question:** *What is this business in one line, and has management kept to "ben fen"?* Cheap deposits lent carefully. The lending side is intact. The deposit side is the open question, and the 2026 allegation (below) is precisely about what the bank was willing to do to get deposits.

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3. Moat – Buffett

MOAT	STRENGTH	EVIDENCE	5-YEAR TREND
Brand / trust	★★★★☆	Default private bank for salaried India; one of three "too big to fail" banks designated by the RBI	Slightly down (2026 events)
Switching cost	★★★★☆	Salary accounts, largest credit-card issuer, largest merchant-acquiring network, SME current accounts	Stable
Network effect	★★☆☆☆	Merchant and payments network; modest	Stable
Scale	★★★★★	₹32.2 lakh crore advances, ~9,000+ branches; cost-to-income ~38%	Up
Licence	★★★★★	Universal bank licences effectively closed	Stable
Low-cost deposits	★★★☆☆	CASA 31.6% vs ICICI ~38–40%, Kotak ~43%	**Down sharply (was ★★★★★)**

Net: the moat that made HDFC Bank special, the funding-cost advantage, has narrowed from the widest in the industry to below its two best private peers. The moats it shares with every large bank (licence, scale,

switching costs) are intact.

What could rebuild it: time (mortgage customers converted to primary-bank customers), 9,000+ branches maturing, and falling rates on term deposits. **What could prevent it:** UPI has made it effortless to keep idle balances elsewhere; every bank is fighting for the same savings accounts; and mutual-fund SIPs take money out of bank deposits every month.

> **Buffett's question:** *Will the moat be there in ten years, and what could destroy it?* The bank will be there and will be larger. Whether it has a funding advantage again is perhaps a coin toss. Loss of trust is the only thing that could destroy it, which is why the governance question matters more than its rupee size.

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4. Inversion – Munger

4.1 How this goes wrong

PATH	PROBABILITY (JUDGEMENT)	DAMAGE	NOTES
Deposit franchise never recovers; ROE stays 13–14%	35–40%	Medium: stock is roughly fairly valued for this already	Investec already models 13–13.5% for two years
New CEO front-loads provisions and resets guidance	30–40% in first 2–3 quarters	Low–medium, temporary	Common with outside CEOs; would likely be the better entry point
Governance allegations substantiated at senior level	10–15%	High: regulatory restrictions, senior exits, lost trust	See 4.2
Indian retail credit cycle turns	20–25% over 3 years	Medium: this bank has the lowest losses in the system	Capital 19.6%
Rupee falls faster than trend	15–20%	Direct, one-for-one on a foreign holder	Oil near $100; rupee ~₹95.5
Directed lending / rate caps / deposit-rate deregulation	5–10%	High	Not modelled in the valuation

4.2 The governance question, laid out

What is known

- 18 Mar 2026: part-time chairman Atanu Chakraborty (a former senior finance-ministry official) resigned with immediate effect, writing that "happenings and practices" over two years were "not in congruence" with his values and ethics. He gave no specifics. The interim chairman said he had given the board no evidence.
- The RBI said the bank was well capitalised with no material concerns about governance or conduct.
- 27 May 2026: an Indian Express report alleged about ₹45 crore of payments to a Maharashtra state road corporation, booked as marketing spend, to secure its deposits.
- 26 Jun 2026: the bank disclosed that Wilson Sonsini and Wadia Ghandy, reviewing minutes and interviewing witnesses, found the ex-chairman's concerns unsubstantiated; he did not take part.
- A US securities class action names the bank and senior officers; the lead-plaintiff deadline is 13 Oct 2026. No hearing has taken place.
- 30 Jun 2026: Rajiv Kumar named part-time chairman. The CEO, Sashidhar Jagdishan, chose not to seek a third term.

What is not known

- What the chairman actually saw. A person of that seniority does not resign in those words lightly, and he has not withdrawn them.
- Whether the state-deposit allegation is true. Plaintiff law firms claim an internal probe held more than ten officials responsible, including the CEO. That claim appears in lawyers' advertising, not in any regulator's finding.
- Why the CEO left. The timing fits either reading.

Two ways to weigh it. *For the bank:* ₹45 crore is 0.06% of annual profit; the regulator that supervises it daily has stated it has no concerns; two external firms cleared it; and the board went outside the group for a CEO, which is what a board does when it wants a clean break. *Against:* a bank under pressure to gather deposits is exactly the bank that would cut this corner; a law firm hired by the board reviews what it is shown; and there was an earlier conduct lapse in the selling of Credit Suisse AT1 bonds to overseas clients (from general knowledge, not re-verified here).

This cannot be settled from outside. It can only be sized for.

4.3 Historical parallels

- **ICICI Bank, 2018.** CEO left amid a conflict-of-interest scandal, bad loans were high, the stock traded near 1.5x book. A new CEO rebuilt the culture; five years later it was the best bank in India and the shares had roughly tripled. *This is the bull case's template, and the new HDFC Bank CEO comes from that ICICI group.*
- **Wells Fargo, 2016.** A sales-practices scandal at America's most admired bank. The business survived easily; the regulator capped its growth for seven years and the stock went nowhere for most of them. *This is the bear case's template: not collapse, but a lost decade.*
- **Yes Bank, 2020.** Collapse. Not comparable: that was concealed bad lending and thin capital. HDFC Bank's loan book and capital are the strongest part of its story.

4.4 What the sellers think

Foreign institutions have cut their holding from 48.4% to 39.4% in a year, 2.43 points of it last quarter. Their case: margins at a record low and guidance on funding missed; three years of 6% EPS growth; a governance question with no end date; an untested CEO; a currency losing value; and ICICI available as a cleaner alternative. Each point is factual.

> **Munger's question:** *Where am I most likely to be wrong?* In assuming the old HDFC Bank is the "true" one and the last three years are an interruption. The base rate for banks that lose a funding advantage regaining it fully is not high. The valuation below therefore does not assume it.

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5. Management – "the right people"

WHEN	DECISION	OUTCOME	GRADE
1994–2020	Aditya Puri builds the franchise	One of the best 25-year records in world banking	A+
Oct 2020	Sashidhar Jagdishan (insider) succeeds him	Orderly	B+
Dec 2020	RBI bars new card issuance and digital launches after repeated outages	Lifted over 2021–22; a technology under-investment came to light	C

WHEN	DECISION	OUTCOME	GRADE
Apr 2022 / Jul 2023	Merger with HDFC Ltd	Strategic logic sound (mortgages, cross-sell); execution left ROE at 14% and CASA at 32% three years on	B– so far
2025	HDB Financial IPO; 1:1 bonus; payout raised to 31%	Shareholder-friendly	B+
FY26–27	Re-accelerated loan growth to 16% while loan/deposit ratio still ~97%, against 85–90% guidance	Guidance missed	C+
Mar–Oct 2026	Chairman exit; external review; outside CEO chosen over internal deputy	Board acted, but late	B–

Incoming CEO: Anup Bagchi (from 27 Oct 2026, three-year term, RBI approved 1 Oct). Three decades in the ICICI group; most recently CEO of ICICI Prudential Life, before that head of retail at ICICI Bank during its turnaround. First outsider ever to run HDFC Bank. *For:* he has lived through exactly this kind of repair, and an outsider owes nothing to past practices. *Against:* outsiders at institutions with strong cultures often lose senior people in year one (the internal candidate, the deputy MD, was passed over).

Alignment: no controlling shareholder; widely held; management owns little. This is a professionally run institution, so the board and the regulator are the checks. **Capital allocation:** conservative; 19.6% capital adequacy leaves room for a higher payout or for absorbing shocks.

> **Duan Yongping's question:** *If the CEO leaves, does the company keep its edge?* It is about to be tested directly. The lending culture has outlasted one succession already. Overall grade: **B, with the next four quarters deciding the direction.**

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6. Civilisational trend — Li Lu

Covered at length in the industry report. In brief: India is at about $2,812 of GDP per head, bank credit is ~57% of GDP, and financial deepening follows income with great regularity. The end-state is four to six very large private banks plus the State Bank of India, and HDFC Bank is certain to be one of them on size alone. System credit should compound at 11–14% a year in rupees for a long time.

The limits: in rupees, not dollars or euros (the currency has lost roughly 3–4% a year for a decade); banking is a business where growth must be funded with capital and deposits, so a share of the growth never reaches per-share earnings; and payments, the most visible part of India's financial revolution, are a free public utility.

> **Li Lu's question:** *Looking back from 2046, is this the Standard Oil of its era or a 3Com?* Neither. It is closer to a JPMorgan or a Bank Central Asia: certain to exist, certain to be much larger, with the return to shareholders decided almost entirely by ROE and entry price.

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7. Valuation and margin of safety

7.1 Where the price is

	HDFC BANK	ICICI BANK	KOTAK	AXIS	SBI
P/E	13.8	17.3	21.9	14.1	10.5
P/B	1.81	2.57	2.42	1.77	1.42
ROE	13.6%	15.9%	11.4%	13.1%	15.4%

Against its own history: GuruFocus puts the ten-year median P/B at 3.57 and the current level at about the ten-year low (their absolute figure differs from Screener's because of the book-value basis used). Five years ago the bank traded above 3.5x book with a 16–17% ROE.

Analyst targets (press reports, Aug–Oct 2026): JM Financial ₹800 · Jefferies ₹880 · Investec ₹920 (Hold) · Motilal Oswal ₹925 · Nomura ₹950 · Morgan Stanley ₹1,025 · UBS ₹1,130 · Bernstein, Macquarie ₹1,150. Every one is above the price and almost every one has been cut this year. Consensus FY28 ROE: 13–15%.

7.2 What the price implies

At 1.81x book with a 10% dollar cost of equity and 3% perpetual growth, the price is consistent with a sustained ROE of about 15–16% in dollar terms, or 13–14% if one accepts a lower required return. Put simply, **the market is pricing today's ROE to continue, with no recovery and no further decline.**

7.3 Three-year scenarios (rupees, tool-calculated)

Starting EPS ₹51.35, price ₹707.

SCENARIO	EPS GROWTH	EXIT P/E	EPS IN 3 YEARS	PRICE	CHANGE
Bull: margin and ROE recover	15%	17x	₹78.10	₹1,328	+87.8%
Base: steady repair	11%	14x	₹70.23	₹983	+39.1%
Bear: stuck, or a governance hit	6%	11x	₹61.16	₹673	−4.8%

In today's money (discounted at 10% a year for three years) those targets are about ₹997, ₹739 and ₹505, which is +41%, +5% and −29% against the ₹707 price. This is the fairer comparison: the base case is worth only slightly more than the price today.

A foreign holder should take roughly 9–12% off each three-year figure for rupee depreciation at the historical trend, and add about 6% for dividends.

7.4 Ten-year discounted view (US dollars)

The tool's rule is that the exit multiple must come from the perpetual-growth formula, never from what peers trade at today: Exit P/E = (1 − g / ROE) ÷ (r − g)

Inputs and why

- **Currency: US dollars**, because the ADR is a dollar instrument and the tool is calibrated for dollar discount rates. Rupee profit growth is converted by subtracting 3 points a year of assumed depreciation.
- **r = 10%** (dollar cost of equity, the tool's central value), with **12%** as the sensitivity.
- **Steady-state ROE:** 13% / 15% / 17%. Today 14%; pre-merger 16–19%.
- **g (after year ten):** 2% / 3% / 4%, within the dollar ceiling of 4%.

- **Profit growth to year ten (USD):** 5% / 8% / 11% (rupee 8% / 11% / 14%).
- **Starting point:** TTM consolidated profit ₹82,512 cr ≈ $8.64B; market cap $113.4B.
- **Dividend minus dilution:** 1.5% a year.

Audit: currency consistency ✓ · r − g between 6 and 8 points in every case ✓ · discrete risks kept out of the discount rate ✓ (tool verdict: pass, two warnings listed under limits).

	BEAR	BASE	BULL
Year-10 profit (USD)	$14.07B	$18.65B	$24.53B
Exit P/E at r = 10%	10.6x	11.4x	12.7x
10-year return a year, r = 10%	**+4.3%**	**+8.0%**	**+12.1%**
Exit P/E at r = 12%	8.5x	8.9x	9.6x
10-year return a year, r = 12%	+1.9%	+5.4%	+9.1%

Reading it. On assumptions that give no credit for re-rating, the base case earns about 8% a year in dollars, below a 10% hurdle. Only the bull case clears it. The ordering of the three cases is the same at both discount rates; the absolute numbers move by 2.5–3 points, so the level depends heavily on the rate chosen. For a euro investor, add or subtract whatever the dollar does against the euro.

Why the three-year table looks better than the ten-year one: the three-year base case keeps today's 14x multiple; the ten-year model forces the multiple down to 11.4x as growth eventually slows. Both are legitimate. Together they say: decent, not exceptional.

7.5 Price zones

ZONE	SHARE PRICE	ADR (APPROX.)	P/B	MEANING
Clearly attractive	≤ ₹600	≤ $19	≤ 1.5x	Priced as a permanently ordinary bank; recovery is free
Reasonable to accumulate	₹600–720	$19–23	1.5–1.85x	**Current.** Fair for today's ROE, modest upside option
Fair	₹720–900	$23–28	1.85–2.3x	Needs visible ROE recovery toward 15–16%
Full	> ₹900	> $28	> 2.3x	Needs 16–17% ROE delivered, not promised

ADR equivalents use 3 shares per ADR at ~₹95.5 per dollar and will drift with the rupee.

> **Buffett's question:** *If r is wrong by two points, does the conclusion flip?* The level does (8% becomes 5%), the ranking does not. The conclusion "fair, not a bargain" survives both. A conclusion of "obviously cheap" would not.
>
> **Duan Yongping's question:** *Would you hold it at this price if the market closed for five years?* Yes, as a small holding. A 7% earnings yield, a 2% dividend, low loss rates and strong capital make it a business one can own through a closed market. It is not one to bet heavily on, because the thing that would make it excellent again is outside anyone's ability to verify today.

In your money: what this means in lei

- **Price:** one share ₹707 ≈ €6.51 ≈ 34.8 lei; one ADR (3 shares), the instrument a European investor would buy, $22.28 ≈ €19.86 ≈ 106 lei; the "clearly attractive" level of $19 per ADR ≈ €16.94 ≈ 90.5 lei. National Bank of Romania reference rates of 9 Oct 2026: 1 EUR = 5.3414 lei, 1 USD = 4.7612 lei.
- **Return:** The base case is about +8.0% a year over ten years in dollars, in a range of +4.3% to +12.1%. A return in lei is that figure plus or minus the change in the lei price of the dollar. Between 26 Feb and 9 Oct 2026 the leu lost 10.2% against the dollar and 4.8% against the euro (BNR reference rates), which shows how much the exchange rate alone can move a lei result.
- **Inflation:** Romanian inflation was 6.2% a year in August 2026 (INS). The National Bank of Romania forecasts 6.1% for end-2026 and 3.4% for end-2027. The base case is above both figures; the bear case (+4.3%) is below current inflation. The dollar figure already assumes the rupee loses about 3% a year against the dollar.

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8. Decision memo

DIMENSION	CONCLUSION	CONFIDENCE
Business quality (Duan)	Good; no longer exceptional. Lending strong, funding weakened	High
Moat (Buffett)	Scale and licence intact; funding advantage lost for now	High
Management (Duan + Buffett)	B. Outsider CEO from 27 Oct; funding guidance missed; governance unresolved	Medium
Biggest risk (Munger)	A lost decade (ROE stuck at 13–14%), more than a blow-up	Medium
Civilisational trend (Li Lu)	Strongly positive in rupees; diluted by currency and capital needs	High
Valuation	Fair to modestly cheap: base case ~8% a year in dollars over ten years; ~+39% in rupees over three if nothing improves or worsens	Medium

SITUATION	FRAMEWORK CONCLUSION
No position (the reader's case)	A small starter position is defensible at ₹707 / $22. Stage it: one part after the Q2 FY27 results (mid-October), one after the new CEO's first full quarter (results around January 2027), one held back for ₹600 or a clear improvement. Keep it smaller than an ICICI Bank position until the governance question closes
Already holding	Hold; no reason to add above ~₹720 before CASA turns
Add signals	CASA ratio rises for two consecutive quarters · NIM back above 3.5% · loan/deposit ratio below 92% · class action dismissed or settled for a small sum · price ≤ ₹600
Sell signals	A regulator (RBI, SEBI, SEC) substantiates misconduct at senior level · ROE below 12% for a full year · gross NPA above 2% · several senior departures in the new CEO's first year · price above ~2.5x book without ROE above 16%

What the four would say

> **Buffett:** "I bought Wells Fargo in 1990 when people thought California real estate would sink it, and I was wrong to keep it when the problem turned out to be culture. Figure out which kind of problem this is. The price only protects you from the first kind."

> **Munger:** "Three bad things at once is usually when you get a fair price on a good bank. It is also usually when you don't know which of the three is the real one. Buy a little and admit you don't know."

> **Duan Yongping:** "The lending is right. Whether the people are right, you will learn in a year. There is no rule that says you must decide today."

> **Li Lu:** "India's banking system will be several times larger and this bank will be at its centre. That is knowable. Whether its shareholders earn 5% or 12% is not, and at this price you are being paid a fair amount to wait and find out."

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9. Confidence, limits, and what to check next

AI analysis confidence: high on the numbers, low on the question that matters most. Balance sheet, margins, growth, valuation and ownership are well documented and cross-checked. Whether there was misconduct, and whether the deposit franchise recovers, are judgements no amount of public data settles. Investment certainty is therefore **medium at best**, regardless of how complete the report looks.

Limits

- Not modelled in the valuation (tool warnings): government-directed lending or rate caps; ADR delisting or capital controls.
- Scenario probabilities in section 4 are judgements, not statistics.
- Rupee depreciation is assumed at the ten-year trend; the pre-2016 level is from memory.
- Screener's figures are consolidated (including subsidiaries such as HDB Financial and HDFC Life); the bank-only numbers are lower (FY26 profit ₹74,670 cr against ₹79,219 cr).
- For a European holder: Indian dividend withholding tax and ADR fees reduce the 2.2% yield; check with your broker.

Calendar

- 13 Oct 2026: class-action lead-plaintiff deadline
- Mid-October 2026: Q2 FY27 results. Watch NIM against 3.26%, CASA, and anything said about the 85–90% loan/deposit target
- 27 Oct 2026: Anup Bagchi takes over
- January 2027: Q3 results, the first quarter under the new CEO
- April 2027: FY27 results and whatever strategy reset comes with them

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Appendix — tool output record

```
Market cap check:   707.0 INR × 15.39B = 10.88T INR vs reported 10.90T → deviation 0.22% ✅
Cross-validation:   market cap USD — Screener@95.5: 114.20bn · StockAnalysis HDB: 112.64bn → 0.69% ✅
Valuation check:    P/E 13.77x · earnings yield 7.26% · P/B 1.81x · ROE (EPS/BVPS) 13.17% · dividend yield 2.19%
Three-scenario:     Bull 15%/17x → 1327.6 (+87.8%) · Base 11%/14x → 983.2 (+39.1%) · Bear 6%/11x → 672.7 (−4.8%)
Terminal audit:     currency USD, r 10%, ROE 15%, g 2/3/4% → C1 ✓ C2 ✓ (r−g 8/7/6 pct) C3 ✓ → PASS, 2 warnings
(unmodelled risks)
Exit P/E:           10.6x (13%, 2%) · 11.4x (15%, 3%) · 12.7x (17%, 4%) at r=10%; 8.5x / 8.9x / 9.6x at r=12%
IRR, r=10%:         bear +4.28% · base +7.99% · bull +12.13%
IRR, r=12%:         bear +1.91% · base +5.38% · bull +9.08%
```

Sources

- **Financials and price:** Screener.in HDFCBANK consolidated (accessed 11 Oct 2026); StockAnalysis.com HDB; GuruFocus (historical P/B)
- **Q1 FY27 results:** INDmoney, Bajaj Broking, Kotak Neo, Finology, Arihant Capital
- **Q2 FY27 business update (4 Oct 2026):** ICICI Direct, Sahi, Business Standard
- **FY26 results and guidance:** Arihant Capital, ICICI Direct, Yahoo Finance (earnings call summary), Baroda eTrade
- **Governance:** Bloomberg, CNBC, The Quint (resignation); Free Press Journal, Outlook Business, StockTitan 6-K (external review); Moneylife, PR Newswire law-firm notices (class action); Tribune India
- **CEO succession:** Outlook Business, Sahi, Business Today
- **Analyst views:** Business Today (20 Jul, 25 Aug, 31 Aug, 1 Sep, 5 Oct 2026), Outlook Business, Benzinga India
- **From general knowledge, not re-verified:** pre-merger CASA and margin levels, the 2020 RBI technology restrictions, the AT1 bond matter, the ICICI 2018 and Wells Fargo 2016 parallels, branch count

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https://turnivor.github.io/investment-reports/#hdfc-bank